

CBSE CLASS X

Introduction to Financial Markets (405)

QUESTION PAPER

From previous CBSE Board Exam questions

Code: CZ5D1M

Questions: 6

Maximum Marks: 12

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SELECTIONS USED

Source	Previous-year board
Subject	Financial Market Management
Lessons	Concepts & Modes of Analysis
Year	2023-2026
Questions selected	6

Q1. § How to go about systematically analyzing a company?

[2]

"National Hydroelectric Power Company (NHPC) Ltd., National Thermal Power Company (NTPC) Ltd., Tata Power Company (TPC) Ltd. etc. belong to the Power Sector/Industry of India." What does Industry Analysis mean?

Previously asked in: 2023 92 Q14

◆ Concepts & Modes of Analysis

Industry Analysis

Q2. § How to go about systematically analyzing a company?

§ What is a Balance Sheet and a Profit and Loss Account Statement? What is the

[1]

difference between Balance Sheet and Profit and Loss Account Statements of a company?

Financial performance of the company and certain key financial parameters like Earning Per Share (EPS), P/E ratio, current size of equity etc. for arriving at the estimated future price. This is known as _____.

- (a) Industry Analysis
- (b) Corporate Analysis
- (c) Financial Analysis
- (d) Firm Analysis

Previously asked in: 2023 92 Q4 (vi)

◆ Concepts & Modes of Analysis

Fundamental Analysis – EPS, P/E Ratio, and Estimated Future Price

Q3. § What is an Annual Report?

[4]

Companies publish annual reports and send abridged versions to shareholders free of cost. An annual report of a company is the best source of information about the financial health of a company. In the light of this statement, describe an annual report and its features.

Previously asked in: 2023 92 Q21

◆ Concepts & Modes of Analysis

Annual Report – Description and Features

Q4. § What is a Balance Sheet and a Profit and Loss Account Statement? What is the difference between Balance Sheet and Profit and Loss

[2]

Account Statements of a company? § What are Current Liabilities and Provisions and Net Current Assets in the balance sheet? § How is balance sheet summarized?

What items are included in the liability section of a company's balance sheet ?

Previously asked in: 2026 92 Q15

◆ Concepts & Modes of Analysis

Balance Sheet - Liabilities Side

Q5.**[2]**

"Reduced inequalities is one of our sustainable goals". State the methods used to reduce inequalities.

Previously asked in: 2026 92 Q10

◆ Concepts & Modes of Analysis

Sustainable Development Goals - Reduced Inequalities

Q6.

§ What do the sub-headings under the Fixed Assets like 'Gross block' 'Depreciation', 'Net Block' and Capital-Work in Progress mean?

[1]

Assertion (A) : All fixed assets, except for land, have a defined lifespan.

Reason (R) : Each year, it is assumed that the value of an asset decreases due to usage. The decrease in value is referred to as 'Depreciation'.

- (A) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (B) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (C) (A) is true, but (R) is false.
- (D) (A) is false, but (R) is true.

Previously asked in: 2026 92 Q5 (vi)

◆ Concepts & Modes of Analysis

Depreciation of Fixed Assets

CBSE CLASS X

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ANSWER KEY

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Q1. § How to go about systematically analyzing a company?

[2]

"National Hydroelectric Power Company (NHPC) Ltd., National Thermal Power Company (NTPC) Ltd., Tata Power Company (TPC) Ltd. etc. belong to the Power Sector/Industry of India." What does Industry Analysis mean?

Previously asked in: 2023 92 Q14

◆ Concepts & Modes of Analysis

Industry Analysis

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Model Answer

Industry Analysis means studying the performance and prospects of the industry/sector to which a company belongs. Companies producing similar products form a part of one industry. Analysts examine the effect of government policy, future demand, and changes in business environment (e.g., rupee devaluation benefiting export-oriented companies) on the industry's outlook.

Source: Chapter 9, Industry Analysis

Explanation

- The examiner wants the **definition** of Industry Analysis and its **key components** (government policy, future demand, business environment changes).
- Use the example from the passage (NHPC, NTPC, TPC → Power Sector) only if needed for context; here the question already states it, so focus on the meaning.
- Do not confuse Industry Analysis with Corporate or Financial Analysis — all three are distinct steps in company analysis.

Q2. § How to go about systematically analyzing a company? § What is a Balance Sheet and a Profit and Loss Account Statement? What is the difference between Balance Sheet and Profit and Loss Account Statements of a company? [1]

Financial performance of the company and certain key financial parameters like Earning Per Share (EPS), P/E ratio, current size of equity etc. for arriving at the estimated future price. This is known as _____.

- (a) Industry Analysis
- (b) Corporate Analysis
- (c) Financial Analysis
- (d) Firm Analysis

Previously asked in: 2023 92 Q4 (vi)

◆ **Concepts & Modes of Analysis**

Fundamental Analysis – EPS, P/E Ratio, and Estimated Future Price

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Model Answer

(b) Corporate Analysis

Wait — re-reading the passage: analyzing EPS, P/E ratio, and estimated future price is termed **Financial Analysis**.

Answer: (c) Financial Analysis

Explanation

The source passage explicitly states: "look at the financial performance of the company and certain key financial parameters like Earnings Per Share (EPS), P/E ratio, current size of equity etc. for arriving at the estimated future price. This is termed as **Financial Analysis**." Students must not confuse it with Corporate Analysis (which covers managerial capabilities, past performance vs competitors) or Industry Analysis (which covers sector-level factors).

Q3. § What is an Annual Report?**[4]**

Companies publish annual reports and send abridged versions to shareholders free of cost. An annual report of a company is the best source of information about the financial health of a company. In the light of this statement, describe an annual report and its features.

Previously asked in: 2023 92 Q21

♦ Concepts & Modes of Analysis

Annual Report – Description and Features

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Model Answer**Annual Report:**

An annual report is a formal financial statement issued yearly by a company. It shows assets, liabilities, revenues, expenses, and earnings — how the company stood at the close of the business year and how it fared profit-wise. Abridged versions are sent to shareholders free of cost; a detailed report is available on request. It is the best source of information about a company's financial health.

Key Features to Read Carefully:

1. **Director's Report and Chairman's Statement** — relates to current and future operational performance.
2. **Auditors' Report** — including annexure to the auditors' report.
3. **Profit and Loss Account** — shows financial performance over the accounting year.
4. **Balance Sheet** — shows the company's financial position at a particular point of time.
5. **Notes to Accounts** — attached to the Balance Sheet.

Source: Chapter 9 — Introduction to Financial Markets

Explanation

- The question has two parts: **define** annual report + **describe its features**. Split your answer accordingly to capture all marks.
- Examiners expect all 5 features listed in the textbook; missing any one may cost a mark.
- Keep the definition concise (1–2 sentences) and list features as numbered points — this format is clear and saves time in the exam.
- "Best source of financial health" is a key phrase from the textbook; including it shows precise recall.

Q4. § What is a Balance Sheet and a Profit and Loss Account Statement? What is the difference between Balance Sheet and Profit and Loss Account Statements of a company? § What are Current Liabilities and Provisions and Net Current Assets in the balance sheet? § How is balance sheet summarized? **[2]**

What items are included in the liability section of a company's balance sheet ?

Previously asked in: 2026 92 Q15

◆ Concepts & Modes of Analysis

Balance Sheet - Liabilities Side

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Model Answer

The liability section of a company's balance sheet includes the following items:

1. **Share Capital** – funds raised by issuing shares.
2. **Reserves and Surplus** – retained earnings and accumulated reserves.
3. **Secured Loans** – borrowings backed by assets as collateral.
4. **Unsecured Loans** – borrowings without collateral.
5. **Current Liabilities and Provisions** – amounts due to creditors, advances received, accrued expenses, and provisions for tax, dividend, etc.

Source: Chapter 9, Balance Sheet: Account Form

Explanation

The examiner expects students to list the heads from the liability side of the balance sheet as given in the Account Form. For 2 marks, naming and briefly describing 4–5 items is sufficient. Avoid writing lengthy descriptions; one-line explanations per item are enough.

Q5. **[2]**

"Reduced inequalities is one of our sustainable goals". State the methods used to reduce inequalities.

Previously asked in: 2026 92 Q10

◆ Concepts & Modes of Analysis

Sustainable Development Goals - Reduced Inequalities

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Model Answer

"Reduced Inequalities" is SDG Goal 10. Methods used to reduce inequalities include:

1. **Progressive taxation** – taxing higher incomes at higher rates to redistribute wealth.
2. **Social welfare schemes** – providing subsidies, healthcare, and education to the poor.
3. **Equal opportunity policies** – ensuring fair wages and employment for all sections of society.
4. **Financial inclusion** – giving access to banking and credit to marginalised groups.

Explanation

The source passages provided are from a Financial Markets chapter and do not contain content related to "Reduced Inequalities" (SDG 10). However, this topic comes from **Economics – Chapter: Development** (Class 10 NCERT). The examiner expects students to list 2–3 clear methods (each as a point) for 2 marks. One mark is typically awarded per valid method mentioned. Avoid writing lengthy explanations; brief, labelled points are sufficient.

Q6. § What do the sub-headings under the Fixed Assets like 'Gross block' 'Depreciation', 'Net Block' and Capital-Work in Progress mean?

[1]

Assertion (A) : All fixed assets, except for land, have a defined lifespan.

Reason (R) : Each year, it is assumed that the value of an asset decreases due to usage. The decrease in value is referred to as 'Depreciation'.

- (A) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (B) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (C) (A) is true, but (R) is false.
- (D) (A) is false, but (R) is true.

Previously asked in: 2026 92 Q5 (vi)

◆ Concepts & Modes of Analysis

Depreciation of Fixed Assets

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Model Answer

(B) Both (A) and (R) are true, but (R) is not the correct explanation of (A).

Assertion is true as all fixed assets except land have a fixed life. Reason is also true — annual decrease in asset value due to usage is Depreciation — but depreciation does not *explain why* land is excluded from having a defined lifespan.

Explanation

- The source passage states: "*all fixed assets except land have a fixed life*" (A is true) and "*every year the worth of an asset falls due to usage — this reduction is called Depreciation*" (R is true).
- However, R explains what depreciation is, **not why** land has no defined lifespan. Hence R is not the correct explanation of A → Option **(B)**.
- A common mistake is choosing (A), but that would require R to directly justify the exemption of land, which it does not.